

Barclays Bank of Kenya Limited financial statements

The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the audited group results for the year ended 31 December 2018

		Bank		Group	
		December 2017	December 2018	December 2017	December 2018
		Shs '000	Shs '000	Shs '000	Shs '000
		Audited	Audited	Audited	Audited
I	Statement of financial position as at 31 December 2018				
A	Assets				
1	Cash balances (both local and foreign)	4,719,625	5,814,633	4,719,625	5,814,633
2	Balances due from Central Bank of Kenya	11,634,615	17,716,625	11,634,615	17,716,625
3	Kenya Government and other securities held for dealing purposes	9,608,230	29,708,449	9,608,230	29,708,449
4	Financial assets at fair value through profit and loss	-	-	-	-
5	Investment securities:	-	-	-	-
a)	Held to maturity:	-	-	-	-
a.	Kenya government securities	-	-	-	-
b.	Other securities	-	-	-	-
b)	Fair value through other comprehensive income	-	-	-	-
a.	Kenya government securities	58,376,465	63,120,004	58,476,028	63,230,224
b.	Other securities	-	-	-	-
6	Deposits and balances due from local banking institutions	1,300,000	1,000,000	1,300,000	1,000,000
7	Deposits and balances due from banking institutions abroad	518,113	5,571,788	518,113	5,571,788
8	Tax recoverable	336,209	-	414,659	-
9	Loans and advances to customers(net)	168,397,417	177,353,969	168,397,417	177,353,969
10	Balances due from banking institutions in the group	3,464,630	9,126,358	3,464,630	9,126,358
11	Investment in associates	-	-	-	-
12	Investment in subsidiary companies	362,761	362,761	-	-
13	Investment in joint ventures	-	-	-	-
14	Investment properties	-	-	-	-
15	Property and equipment	2,744,065	2,336,349	2,744,065	2,336,654
16	Prepaid operating rental leases	46,394	45,486	46,394	45,486
17	Intangible assets	1,130,854	830,570	1,155,854	878,291
18	Deferred tax	684,067	2,156,682	696,948	2,177,325
19	Retirement benefit asset	-	-	-	-
20	Other assets	8,358,721	10,219,063	8,000,799	9,879,864
21	Total assets	271,682,166	325,362,737	271,177,377	324,839,666
B	Liabilities				
22	Balances due to Central Bank of Kenya	-	-	-	-
23	Customers' deposits	186,245,380	207,725,834	185,977,380	207,407,834
24	Deposits and balances due to Banking institutions (local)	2,061,578	4,699,903	2,061,578	4,699,903
25	Deposits and balances due to Banking institutions (foreign)	997,877	607,722	997,877	607,722
26	Other money market deposits	-	-	-	-
27	Borrowed funds	-	-	-	-
28	Balances due to banking institutions in the group	28,831,238	57,034,375	28,831,238	57,034,375
29	Tax payable	-	96,425	-	25,803
30	Dividends payable	-	-	-	-
31	Deferred tax liability	-	-	-	-
32	Retirement benefit liability	3,855	-	3,855	-
33	Other liabilities	9,983,070	11,805,035	9,206,313	10,857,085
34	Total liabilities	228,122,998	281,969,294	227,078,241	280,632,722
C	Shareholders' Funds				
35	Paid up / assigned capital	2,715,768	2,715,768	2,715,768	2,715,768
36	Share premium / (discount)	-	-	-	-
37	Revaluation reserves	250,791	528,656	250,485	529,956
38	Retained earnings / (accumulated losses)	36,051,918	35,072,273	36,592,192	35,884,474
39	Statutory loan loss reserve	-	-	-	-
40	Other reserves	195,462	188,364	195,462	188,364
41	Proposed dividend	4,345,229	4,888,382	4,345,229	4,888,382
42	Capital grants	-	-	-	-
43	Total shareholders' funds	43,559,168	43,393,443	44,099,136	44,206,944
44	Minority interest	-	-	-	-
45	Total liabilities and total shareholders funds	271,682,166	325,362,737	271,177,377	324,839,666
II	Statement of comprehensive income				
1	Interest income				
1.1	Loans and advances to customers	21,259,156	21,527,991	21,259,156	21,527,991
1.2	Government securities	5,770,087	7,372,947	5,775,128	7,382,300
1.3	Deposits and placements with banking institutions	117,146	151,002	117,146	151,002
1.4	Other interest income	19,784	-	19,784	-
1.5	Total interest income	27,166,173	29,051,940	27,171,214	29,061,293
2	Interest expenses				
2.1	Customer deposits	4,834,902	6,126,393	4,834,902	6,126,393
2.2	Deposits and placements with banking institutions	556,064	965,455	534,890	942,489
2.3	Other interest expenses	-	-	-	-
2.4	Total interest expenses	5,390,966	7,091,848	5,369,792	7,068,882
3	Net interest income	21,775,207	21,960,092	21,801,422	21,992,411
4	Non - interest income				
4.1	Fees and commissions income on loans & advances	635,895	1,052,491	635,895	1,052,491
4.2	Other fees and commissions	4,186,273	4,051,940	4,636,524	4,572,316
4.3	Foreign exchange trading income	2,863,594	3,279,548	2,863,594	3,279,548
4.4	Dividend income	-	-	-	-
4.5	Other income	321,117	797,715	321,116	797,715
4.6	Total non-interest income	8,006,879	9,181,694	8,457,129	9,702,070
5	Total operating income	29,782,086	31,141,786	30,258,551	31,694,481
6	Operating expenses				
6.1	Loan loss provision	3,115,113	3,870,757	3,115,113	3,870,757
6.2	Staff costs	10,011,544	9,647,106	10,113,604	9,768,076
6.3	Directors emoluments	141,175	147,115	141,175	152,761
6.4	Rental charge	1,335,579	1,137,573	1,338,142	1,150,784
6.5	Depreciation on property and equipment	766,918	792,031	766,918	792,031
6.6	Amortisation charges	465,018	407,066	465,018	407,066
6.7	Other operating expenses	3,940,875	4,890,066	3,957,602	4,907,275
7	Total operating expenses	19,776,222	20,891,714	19,897,572	21,048,750
	Profit before tax and exceptional items	10,005,864	10,250,072	10,360,979	10,645,731
8	Exceptional items	-	-	-	-
9	Profit after exceptional items	10,005,864	10,250,072	10,360,979	10,645,731
10	Current tax	(3,526,653)	(3,810,433)	(3,643,519)	(3,942,754)
11	Deferred tax	200,366	704,485	208,859	713,065
12	Profit after tax and exceptional items	6,679,577	7,144,124	6,926,319	7,416,042
13	Other comprehensive income				
13.1	Gains/(losses) from translating the financial statements of foreign operations	-	-	-	-
13.2	Fair value changes in available for sale financial assets	575,641	395,889	575,204	398,184
13.3	Revaluation surplus on property, plant and equipment	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(172,692)	(118,766)	(172,561)	(119,455)
14	Total comprehensive income for the year net of tax	402,949	277,123	402,643	278,729
15	Total comprehensive income for the year	7,082,526	7,421,247	7,328,962	7,694,771
	Earnings per share (Shs)	1.23	1.32	1.28	1.37
	Dividends per share (Shs)	1.00	1.10	1.00	1.10



		Bank	
		December 2017	December 2018
		Shs '000	Shs '000
		Audited	Audited
III	Other disclosures		
1	Non-performing loans and advances		
a)	Gross non-performing loans and advances	12,614,723	13,910,314
b)	Less: Interest in suspense	3,256,066	3,086,729
c)	Total non performing loans and advances	9,358,657	10,823,585
d)	Less: loan loss provisions	5,570,676	6,543,088
e)	Net non performing loans(c-d)	3,787,981	4,280,497
f)	Discounted value of securities	1,656,019	1,497,300
g)	Net NPLs (excess) / exposure (e-f)	2,131,962	2,783,197
2	Insider loans and advances		
a)	Directors ,shareholders and associates	44,114	40,764
b)	Employees	11,674,004	10,652,129
c)	Total insider loans and advances	11,718,118	10,692,893
3	Off Balance sheet items		
a)	Letters of credit ,guarantees, acceptances	24,081,886	28,371,577
b)	Forwards, swaps and options	44,527,135	69,777,052
c)	Other contingent liabilities	-	-
	Total contingent liabilities	68,609,021	98,148,629
4	Capital strength		
a)	Core capital	38,767,686	37,788,041
b)	Minimum statutory capital	1,000,000	1,000,000
c)	Excess / (deficiency)	37,767,686	36,788,041
d)	Supplementary capital	5,166,021	5,092,278
e)	Total capital	43,933,707	42,880,319
f)	Total risk weighted assets	243,728,272	261,752,219
g)	Core capital / total deposit liabilities	20.8%	18.2%
h)	Minimum statutory ratio	8.0%	8.0%
i)	Excess / (deficiency)	12.8%	10.2%
j)	Core capital / total risk weighted assets	15.9%	14.4%
k)	Minimum statutory ratio	10.5%	10.5%
l)	Excess / (deficiency)	5.4%	3.9%
m)	Total capital / total risk weighted assets	18.0%	16.4%
n)	Minimum statutory ratio	14.5%	14.5%
o)	Excess / (deficiency)	3.5%	1.9%
p)	Adjusted core capital/total deposit liabilities*	-	18.6%
q)	Adjusted core capital/total risk weighted assets*	-	14.7%
r)	Adjusted total capital/total risk weighted assets*	-	16.7%
5	Liquidity		
a)	Liquidity ratio	33.4%	35.7%
b)	Minimum statutory ratio	20.0%	20.0%
c)	Excess / (deficiency)	13.4%	15.7%

Message from the Directors:

The directors note that an interim dividend of Shs 0.20 per ordinary share of the company was paid on October 12 2018. As such, subject to the approval of the shareholders, the directors have resolved to recommend to members at the forthcoming Annual General Meeting a final dividend for the year of Shs 0.90 per ordinary share of the company to be paid on or about May 29 2019 to shareholders registered at the close of business on April 30 2019.

These financial statements are extracts from the books of the institution as audited by KPMG Kenya and can be accessed on the institution's website www.barclays.co.ke. They may also be accessed at the institutions head office at the West End Building, Waiyaki way.

They were approved by the board on Friday 08th March, 2019 and signed on its behalf by:

Charles Muchene
Chairman

Jeremy Awori
Managing Director

Yusuf Omari
Chief Financial Officer

Stella Gacharia
Acting Company Secretary

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Barclays Bank of Kenya Limited
Statement of Changes in Equity
For the year ended 31 December 2018

	Share capital (Kshs '000')	Other reserve (Kshs '000')	Retained earnings (Kshs '000')	Proposed dividends (Kshs '000')	Total (Kshs '000')
As at 01 January 2018	2,715,768	445,947	36,592,192	4,345,229	44,099,136
Impact of adopting IFRS 9, net of tax	-	-	(2,141,555)	-	(2,141,555)
Restated opening balance under IFRS 9	2,715,768	445,947	34,450,637	4,345,229	41,957,581
Total comprehensive income for the year					
Profit for the year	-	-	7,416,042	-	7,416,042
Other comprehensive income	-	278,729	(7,516)	-	271,213
	-	278,729	7,408,526	-	7,687,255
Movement in share-based payment plan	-	(6,356)	-	-	(6,356)
Transactions with owners:					
Dividends to equity holders					
*Final for 2017 paid	-	-	(4,345,229)	(4,345,229)	(4,345,229)
Interim dividend	-	-	(1,086,307)	-	(1,086,307)
Proposed final dividend	-	-	(4,888,382)	4,888,382	-
As at 31 December 2018	2,715,768	718,320	35,884,474	4,888,382	44,206,944

Barclays Bank of Kenya Limited
Summarised Statement of Cash Flows
for the year ended 31 December 2018

	2018 Shs' millions	2017 Shs' millions
Net cash flows (used in)/generated from operating activities	(10,380)	4,512
Cash flows from investing activities		
Purchase of property and equipment	(428)	(449)
Proceeds from disposal of property and equipment	4	11
Purchase of intangible assets	(126)	(44)
Net cash used in investing activities	(550)	(482)
Cash flows from financing activities		
Dividends paid	(5,431)	(5,431)
Net cash used in financing activities	(5,431)	(5,431)
Net decrease in cash and cash equivalents	(16,361)	(1,401)
Cash and cash equivalents as at 1 January 2018	(10,330)	(8,929)
Cash and cash equivalents as at 31 January 2018	(26,691)	(10,330)

Cash and cash equivalents	2018 Shs' millions	2017 Shs' millions
Cash in hand	5,815	4,720
FVOCI securities maturing within ninety days	3,258	5,640
Balances due to group company	(51,938)	(23,659)
Balances due from group company	9,126	3,465
Deposits and balances due from banking institutions	6,572	1,818
Deposits and balances due to banking institutions	(5,308)	(3,059)
Items in the course of collection from banks	1,150	787
Items in the course of collection to banks	(2,194)	(1,913)
CBK Cash reserve requirement	6,828	1,871
	(26,691)	(10,330)

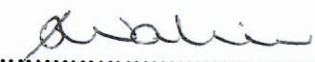


BARCLAYS BANK OF KENYA LIMITED**EXTRACTS OF MINUTES APPROVING 2018 FULL YEAR AUDITED FINANCIAL STATEMENTS AND 2018 FINAL DIVIDEND**

Extract of the Minutes of the Board of Directors Meeting for Barclays Bank of Kenya Limited held on March 8, 2019

<u>MINUTE NO.</u>	<u>SUBJECT</u>	<u>DETAILS</u>
02/03/19 & 03/03/19	2018 Full Year Audited Financial Statements & 2018 Final Dividend	Pursuant to recommendations by Management as well as the Board Audit & Risk Committee it is hereby RESOLVED that: - 1. A final dividend be declared for the year 2018 of Kshs 0.90 per ordinary share of the Bank (further to the interim dividend of Kshs. 0.20 per ordinary share paid on October 12, 2018) to be paid, subject to withholding tax where applicable, on or about Wednesday, May 29, 2019 to shareholders registered as at close of business on Monday, April 30, 2019. 2. The Bank's 2018 Full Year Audited Financial Statements be adopted and approved and the Chairman and Managing Director be authorised to sign the Statements for and on behalf of the Board. 3. The Letter of Representation be submitted to the External Auditors and the Chief Financial Officer be authorized to sign the same for and on behalf of the Board. 4. Following the Central Bank of Kenya approval given on March 7, 2019, an Extract of the Bank's 2018 Full Year Financial Statements as circulated to the Board be published in two daily newspapers of national circulation on March 12, 2019.

Signed by:-


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Stella Gacharia
Ag. Company Secretary

March 8, 2019

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Date

STELLA W. GACHARIA
P. O. Box 101499 - 00101, NAIROBI
CERTIFIED PUBLIC SECRETARY
CPS. No. 3387